

Table 66.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the triangle's height by subtracting the lowest low from the highest high. For upward breakouts, add the difference to the breakout price or for downward breakouts, subtract the difference. Alternatively, symmetrical triangles can be halfway points in a move, so project accordingly. The bottom portion of the table shows how often price reaches the measure rule target.
Wait for breakout	Always wait for the breakout in case the triangle reverses.
Busted patterns	If a triangle breaks out downward, drops no more than 10% before reversing, and closes above the top of the triangle, then buy.
Apex turning	When price reaches the date of the apex, expect a minor high or low to appear. It might become a major turning point for the stock.

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching half height target	74%	59%	58%	60%
Percentage reaching full height target	58%	36%	36%	39%
Percentage reaching 2× height	41%	18%	16%	18%
Percentage reaching 3× height	30%	10%	8%	11%